Q3 2024

Custom Managed Portfolios

Lazard Asset Management

Global Equity

Quick facts

Asset class:
International Large cap

Management style:
Relative Value [1]

Number of holdings:
64

Sub-advisor:
Lazard Asset Management

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
July 1, 2013

aviso wealth

What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	3.98%	16.02%	26.83%	7.93%	10.34%	11.61%	8.19%
Benchmark[5]	5.27%	21.58%	31.82%	10.48%	12.28%	11.30%	8.01%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	14.14%	-11.93%	17.78%	15.43%	19.95%	1.18%	18.95%
Benchmark[5]	19.09%	-12.43%	17.52%	12.25%	20.20%	- 1.26%	15.83%

Standard deviation	7.24%	Sortino ratio	1.49	Downside capture	92%
Sharpe ratio	0.91	Beta (Equity)	0.88	Upside capture	84%

Largest holdings

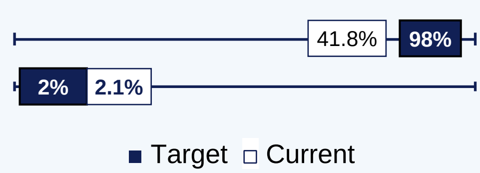
1.	MICROSOFT CORP	5.1%	6.	COCA COLA COMPANY THE	2.2%
2.	AMAZON.COM INC	4.3%	7.	SALESFORCE INC	2.2%
3.	ACCENTURE PLC CL A NEW	3.0%	8.	INTERCONTINENTAL EXCH INC	2.2%
4.	ALPHABET INC CL A	2.8%	9.	DIAGEO PLC S/ NEW	2.1%
5.	TAIWAN SEMICON MFG CO	2.6%	10.	S&P GLOBAL INC	2.1%

Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.40%	29.96	22.25	5.59	4.99	$496.29 B	21%

Target allocations

Asset class	Min	Max
Global equities	50%	100%
Cash & cash equivalents	0%	10%



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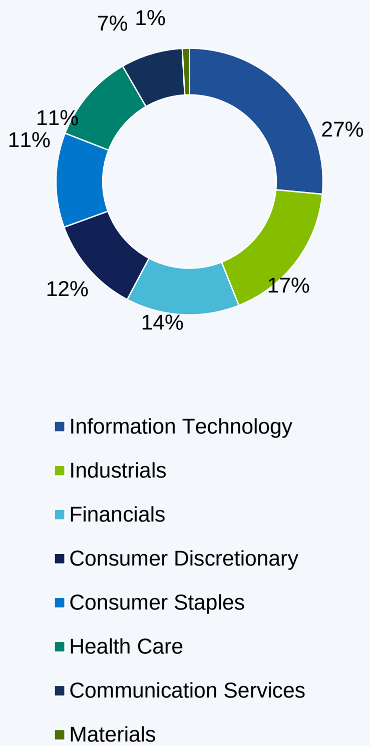
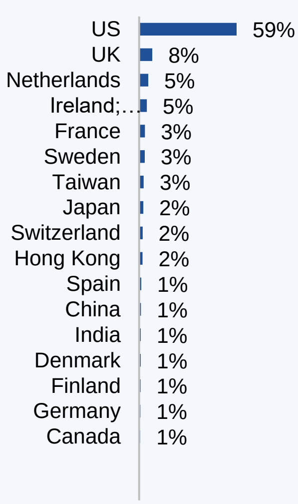
Sector breakdown



Geographic allocation



Quarterly commentary

Market Overview

Equity markets worldwide advanced in the quarter, as the brightening global outlook for interest rates boosted sentiment.

After signaling a less restrictive monetary policy stance, the US Federal Reserve cut its benchmark interest rate by a larger-than- expected 50 basis points (bps) at its policymaking meeting in September, its first rate cut since March 2020. In real terms, the US economy expanded by a faster-than-expected annualized rate of 3.0% in the second quarter. Nonetheless, slowing payroll growth and an increasing unemployment rate raised concerns that the domestic labor market was weakening more rapidly than hoped. Looking ahead, stabilization near current labor market levels will be key to ongoing economic strength.

Across the Atlantic, the European Central Bank (ECB) cut interest rates 25 bps in September, the second time it had done so in the past three months. The ECB's move came amid data suggesting that inflation in the eurozone was hovering near its 2% target and economic growth was weakening. In the UK, the Bank of England lowered interest rates from a 16-year high with a 25-bps cut and signaled a commitment to a more accommodative policy amid cooling inflation and weak economic growth.

In contrast, the Bank of Japan (BOJ) raised the policy rate to 0.25% in July, its second rate hike following an eight-year-long negative interest-rate policy. This action, coupled with expectations of US interest rate cuts, led to a steep market sell-oP in early August when some investors abandoned the "yen carry trade," the practice of borrowing yen at cheap rates to invest in higher- yielding assets. The BOJ held interest rates steady in September, reiterating that it would take a cautious approach to raising borrowing costs.

Meanwhile, in emerging markets, China's central bank unveiled stimulus measures designed to encourage consumption and revive the economy, sparking a sharp rally in Chinese stocks.

Against this backdrop, equities in the developed and developing markets both gained in the quarter, with the latter outperforming the former.

Outlook

We expect to see continued volatility as the US Federal Reserve and other central banks seek to balance the goals of maintaining financial stability and controlling inflation. Strength and narrowness have been themes within global markets for a prolonged period, both of which have been headwinds to performance. However, recent indications of broadening market participation are encouraging. We remain focused on our philosophy of investing a majority of the portfolio in quality companies (Compounders) that can sustain elevated levels of financial productivity and supplementing them with companies that we believe can improve their financial productivity (Improvers). A broadening out of index participation will present a better environment for quality investing, and we believe that the empirical work done by co-lead portfolio manager/analyst Louis Florentin-Lee in Relative Value Investing and its update, Quality Investing, shows that our philosophy is one that should deliver outperformance over time.

Investment manager overview

Since 1848, Lazard has remained a trusted advisor to governments, financial institutions, public and private retirement plans, and individuals around the world.

Lazard Asset Management is the principal asset management subsidiary of Lazard Ltd., and today represents approximately half of the firm's revenue. With more than 300 investment personnel in 18 cities across 13 countries, Lazard Asset Management offers investors an array of traditional and alternative investment solutions. We believe our global reach, unique identity, diverse product platform, and strong client relationships will allow us to maintain our preeminent position in the marketplace.

Investment philosophy

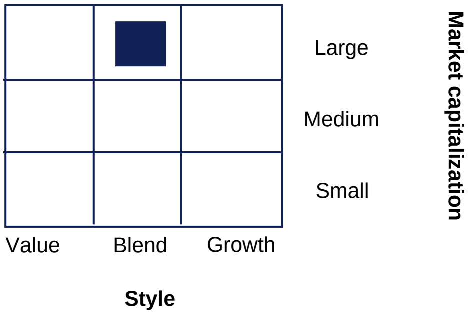
Lazard's investment philosophy is based on value creation through the process of bottom-up stock selection. Our relative value philosophy is implemented by assessing the relationship between valuation and financial productivity for an individual security. We believe that financial productivity (the return a company generates) measures how effectively a company is putting its shareholders' capital to work – and ultimately this drives valuation. Assessing a company's financial productivity is an important part of our research process, as it is critical to assessing a company's value.

We believe that the best companies often sustain higher levels of financial productivity for longer than the market expects, leading to valuation opportunities and market inefficiencies. We also believe that opportunities exist among companies to improve returns, but less often than investors.

Investment process and risk controls

The strategy invests in equity securities, principally common stocks, of companies that the Investment Manager believes have strong and/or improving financial productivity and are undervalued based on their earnings, cash flow or asset values. In managing the strategy, the Investment Manager utilizes a flexible investment approach and engages in bottom-up, fundamental security analysis and selection. The mandate may invest in securities across the capitalization spectrum. The Investment Manager will allocate the Portfolio's assets among various regions and countries, including the United States (but in no less than three different countries). The Portfolio's investments in non-US companies may include companies whose principal business activities are located in emerging market countries.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] Relative Value – Investing style that focuses on relative company to competitor value, in addition to absolute and intrinsic value

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

[5] The benchmark is MSCI All Country World NR Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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